

DAY 5 POULTRY INTERMEDIATE LEVEL

AGRI_EMPOWER POULTRY BOOTCAMP: DAY 5

MODULE 5: AGRIBUSINESS, MARKET & SCALING

GOAL: TURN POULTRY INTO A STRUCTURED BUSINESS

A successful poultry farmer is a businessman who happens to raise birds. Today, we focus on the money, the strategy, and the growth.

1. THE COST STRUCTURE (THE 75:15:10 RULE)

To be profitable, you must keep your costs within these professional industry ratios:

- **Feed (75%):** This is your biggest expense. Efficiency here (FCR) is your biggest profit driver.
- **Chicks (15%):** The cost of quality Day-Old Chicks (DOCs). Never buy "cheap" chicks; they often have poor genetics and high mortality.
- **Medication, Power & Others (10%):** Includes vaccines, charcoal/gas for brooding, and labor.

2. PRICING STRATEGY

Don't just price because "that's what the neighbor is selling for." Use **Cost-Plus Pricing**:

1. Calculate your total cost to produce 1 bird (Feed + Chick + Meds + Labor).
2. Add your desired profit margin (e.g., 20%).
3. This is your **Minimum Selling Price**. If the market price is lower, you must find ways to reduce feed waste or add value (Day 4) to justify a higher price.

3. MARKET CHANNELS & CUSTOMER RETENTION

- **The Open Market:** High volume, but low price. Use this only to "offload" birds quickly.

- **Hotels & Restaurants:** They require consistent size and quality. They pay better but often buy on credit.
- **Direct Sales (Home Delivery):** The highest profit margin. You are selling "Convenience."
- **Customer Retention:** It is 5x cheaper to keep an old customer than to find a new one. Keep a "Customer Database" (Phone numbers) and message them 2 weeks before your next harvest.

4. SCALING STRATEGY: THE 1-3-5 RULE

Scaling isn't just about buying more birds; it's about growing your capacity:

- **100 Birds:** Learning the basics and perfecting your FCR.
- **300 Birds:** Transitioning to hired labor and semi-automated feeders/drinkers.
- **500+ Birds:** Moving into a "Commercial Enterprise" with structured record-keeping and established off-take contracts.



RISK MANAGEMENT: THE SURVIVAL GUIDE

- **Price Crashes:** When feed goes up and bird prices go down, **don't panic-sell**. This is where "Value Addition" (freezing/portioning) saves you. You can hold your meat until the price stabilizes.
- **Disease Outbreak:** Your "Emergency Fund" should cover at least one full cycle of losses so you can restock and start again.
- **Contract Sales:** Seek "Off-take Agreements" with frozen food stores or eateries. A lower, guaranteed price is often better than a high, uncertain price.



PRACTICAL WORKSHOP: THE AGRI_EMPOWER MINI-PLAN

Activity 1: Create a Simple Business Plan

1. **Production Goal:** "To produce 200 broilers every 8 weeks at an average weight of 2.5kg."
2. **Financial Goal:** "To achieve a profit of ₦1,000 per bird."
3. **Efficiency Goal:** "To maintain an FCR of 1.7 or below."

Activity 2: Market Strategy for Your Area

Identify the top 3 "High-Value" spots in your immediate area:

- *Example:* "Staff of the local hospital," "The 3 biggest eateries in town," "Saturday morning door-to-door delivery in [Neighborhood Name]."
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